

A Licensee's Property Tax Duties

NOTICE OF PUBLIC TAX SALE

This is to certify that the collector of Any County, ST, has posted this property as official notification of pending sale for non-payment of taxes.

Parcel Number: 23409283-5023840923885
Owner: John Doe
Anytown, ST 57489

The collector will advertise and sell this property to the highest bidder at public auction at the Any County courthouse beginning at 10:00am on Monday, **August 1, 2018**

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to satisfy the taxes and costs due thereon.

Total costs and taxes due: \$4,567.30



Chances are, you're not a tax accountant, nor do you play one on TV. You're also likely not a tax attorney. So what does all of this stuff about property taxes have to do with your role as a real estate

licensee? Property taxes impact your clients in many areas, so you'll be addressing property taxes in your new career. For example, you'll want to:

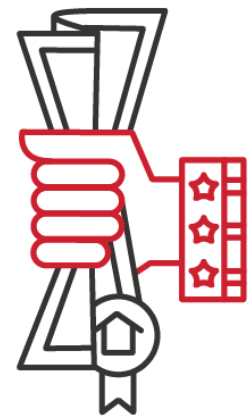
- Disclose to buyer clients what their property taxes will be. Generally, every buyer you work with will want this information, but it will be doubly important for first-time home buyers who can often be naïve about the whole process. And be sure to give them a true picture of their likely tax requirement by using the true tax—the amount before exemptions or assessed values come into play.
- Disclose to buyers that a sale may prompt a reassessment, which may raise their taxes in the next assessment period.
- Understand how property taxes are calculated. This will help you understand how a new assessment may impact your clients.
- Know the area's assessment updating methods. Taxing districts tend to use a combination of conveyance records, inspections, and building permits. State laws may also provide for periodic reassessments.
- Investigate tax abatements, which can impact the property taxes.
- Check the title report for property **tax liens**, which result when a taxpayer (in this case, the seller) is delinquent in paying property taxes.

These liens attach to the property.

- Be aware of any tax exemptions or deductions that may apply to your buyers.

A Word About Tax Liens

Tax liens are placed on real property when the owners don't pay property taxes. These liens can result in a forced sale of the property. The local tax assessor or official will bring a lawsuit to collect the taxes due via an *in rem* legal proceeding.



Note that the lien (and subsequent lawsuit) applies to the property—not the person who owes the taxes. So, if your buyer client purchases a property that has a tax lien on it, there's a big risk that the buyer may lose the house in a tax sale.